

Value State Classification Module (VSCM)

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Canonical Definition

Value State Classification Module (VSCM) is the second Core Module of the Value State Standard (VSS) within VFM® — Value Flow Mechanisms Architecture.

VSCM governs the systematic classification of an identified Value State Candidate into a defined value-state class according to the governed value context, reference point, observed condition, applicable classification criteria, and material limitations.

The Module establishes a common methodological structure through which materially different value conditions can be distinguished without prematurely issuing the final Value State Determination.

Its purpose is to transform:

Identified Value Condition → Governed Value-State Class

while preserving the distinction:

Classification ≠ Determination

VSCM does not determine whether the classified state is formally established.

That function belongs to:

VSDM — Value State Determination Module.

Architectural Position

VSCM is the second module within VSS.

It follows:

VSIM — Value State Identification Module

and precedes:

VSDM — Value State Determination Module.

VSIM establishes:

what current value condition is being examined.

VSCM establishes:

what kind of value state that condition represents.

VSDM subsequently establishes:

whether that state can be formally determined as the governed current Value State.

The sequence is:

Identification → Classification → Determination

Internal Module Flow

Value State Candidate → Value Context Confirmation → Classification Basis Selection → Classification Criteria Application → State Characteristic Assessment → Contextual State Separation → State Class Assignment → Classification Limitation Identification → Classification Record → VSDM — Value State Determination Module

Operational Space

VSCM governs the space between:

an identified current value condition

and

a formally determined current Value State.

Its operational space includes:

value-state taxonomy; classification basis; classification criteria; value-state characteristics; state differentiation; context-specific classification; active value; conditional value; dormant value; constrained value; degraded value; zero value;

negative-value conditions where applicable; recoverable value; state ambiguity; multi-context classification; classification uncertainty; classification limitations; classification traceability.

The classification structure may be adapted to the governed environment while preserving the canonical distinctions established by VFM®.

Classification Basis

Every classification must remain linked to the value context established upstream.

A classification should therefore identify, where applicable:

Governed Value

Value-Bearing Object

Beneficiary

Value Context

Reference Framework

Reference Point

Observed Condition

Classification Criteria

Classification Result

Without these relationships, a value-state label can become detached from the conditions that give it meaning.

Value-State Taxonomy

VSCM permits organizations to establish a governed taxonomy appropriate to their value environment.

A minimum taxonomy may distinguish states such as:

Active Value

Value currently contributes materially within the governed context.

Conditional Value

Value exists, but its realization or usefulness depends upon defined conditions.

Dormant Value

Value exists but is not currently being exercised, utilized, or realized.

Constrained Value

Value exists but material restrictions limit its present realization or use.

Degraded Value

Value remains present but has materially declined relative to the applicable reference condition.

Recoverable Value

Value is not presently realized at its expected level but may be restored through identifiable conditions or actions.

Zero Value

The governed value within the defined context is classified as having reached a zero-value condition.

Where the applicable requirements are subsequently satisfied through VSDM, this classification may support determination of:

ZVA™ — Zero Value Asset™

Other Governed State

Organizations may define additional value-state classes where materially necessary.

The taxonomy must remain explicit and interpretable.

Value Asset™ Classification

VSCM provides the classification layer through which a governed value condition may be classified as belonging to a value-bearing state capable of supporting downstream determination as a:

Value Asset™

This classification does not depend solely upon:

accounting recognition; legal ownership; marketability; physical existence; purchase price; book value.

Instead, classification remains connected to the governed VFM® value context.

A capability with no conventional accounting asset entry may therefore still qualify for a value-bearing classification where recognized value exists within the governed context.

ZVA™ — Zero Value Asset™ Classification

VSCM provides the classification pathway for a potential:

ZVA™ — Zero Value Asset™

A zero-value classification means that the governed value has reached zero within the specific defined context and reference point.

It does not automatically mean that:

the underlying object has ceased to exist.

It does not automatically mean that:

the object has zero value in every context.

It does not automatically mean that:

the state is permanent.

It does not automatically mean that:

the object should be disposed of.

Therefore:

Zero Value ≠ Non-Existence

Zero Value ≠ Universal Worthlessness

Zero Value ≠ Disposal Requirement

Zero Value ≠ Permanent State

This distinction is fundamental to VFM®.

Zero Value ≠ Negative Value

VSCM must preserve a further distinction:

Zero Value

and

Negative Value

are not necessarily the same state.

An object may create no positive value within a context while imposing:

maintenance cost; storage cost; energy consumption; regulatory burden; operational burden; risk; disposal cost; capital lock-up; infrastructure burden.

Where an organization chooses to govern negative-value conditions, they must remain distinguishable from the canonical zero-value condition.

This prevents:

no value

from being confused with:

value destruction or burden.

Dormant Value ≠ Zero Value

A dormant capability may not currently generate observable operational output.

That does not establish zero value.

For example:

Emergency Backup System

may remain unused for years while carrying substantial contingency value.

Likewise:

Unused Patent

may carry strategic or defensive value despite generating no current licensing income.

Therefore:

Non-Use ≠ Zero Value

and:

No Current Revenue ≠ Zero Value

VSCM requires the relevant value context to decide which classification is appropriate.

Constrained Value ≠ Degraded Value

A value may remain fundamentally intact while its realization is externally constrained.

For example:

a production capability may remain technically functional but unavailable because of:

regulatory restriction; missing input; temporary infrastructure failure; contractual limitation; market access restriction.

This may support:

Constrained Value

rather than:

Degraded Value.

By contrast, degradation concerns deterioration in the value condition itself relative to the governed reference.

This distinction can be operationally significant because the restoration pathway may be completely different.

Conditional Value

Conditional value exists where the value-bearing condition depends materially upon identifiable circumstances.

Examples may include:

Technology valuable only if regulatory approval occurs

Mineral resource valuable only if extraction becomes economically viable

Digital capability valuable only within a compatible ecosystem

Contractual right valuable only upon occurrence of a defined event

VSCM preserves those conditions as part of the classification.

A conditional state must not be represented downstream as unconditional value.

Recoverable Value

Recoverable value is particularly important where current underperformance does not imply permanent value loss.

A machine may currently be unusable but repairable.

A customer relationship may be inactive but recoverable.

A technological capability may become relevant after system reconfiguration.

A data asset may be unusable until missing metadata or permissions are restored.

Classification as recoverable value enables organizations to distinguish:

value that has disappeared

from

value whose realization is temporarily interrupted.

Multi-Context Classification

The same value-bearing object may occupy multiple value-state classes simultaneously across different governed contexts.

For example:

Legacy Industrial Machine

may be:

Zero Value — Current Production Context

while simultaneously:

Active Value — Spare Parts Context

and:

Conditional Value — Resale Context

and:

Strategic Value — Emergency Capacity Context

VSCM therefore prohibits universalizing a context-specific classification without a governed basis.

The canonical rule is:

One Object ≠ One Universal Value State

Multi-Beneficiary Classification

Value state may also differ according to beneficiary.

An asset may have:

low value to Organization A

while having:

high value to Organization B.

A technology abandoned by one enterprise may be strategically valuable to another.

A dataset may have limited internal value but substantial research value to a different beneficiary.

Where beneficiary materially affects value state, VSCM preserves that distinction.

Classification Granularity

Classification must occur at a level appropriate to the governed value.

For example:

Factory

may remain a Value Asset™ overall.

Yet:

Production Line 4

may contain degraded value.

Within that line:

Machine 12

may be a potential ZVA™.

Within that machine:

Control Unit

may remain independently recoverable or transferable.

VSCM prevents higher-level value from automatically masking lower-level zero or degraded value.

It equally prevents one lower-level failure from automatically determining the value state of the entire system.

Classification Criteria

Organizations implementing VSCM should establish explicit criteria for each state class.

Criteria may consider:

current value contribution; operational usability; beneficiary relevance; realization conditions; utilization; functional capability; recoverability; strategic relevance; economic relevance; technological relevance; constraints; dependency availability; deterioration; substitution; temporal relevance; cost burden; value realization potential.

Classification criteria must be appropriate to the governed value context.

VFM® does not impose one universal economic formula across every form of value.

Classification Evidence

Classification should be supported by a sufficient basis appropriate to the governed context.

This may include:

operational information; financial information; market information; utilization records; technical assessments; system telemetry; production records; contractual information; strategic assessments; capability records; resource data; external valuation information; governed observations.

VSCM does not own these evidence systems.

It governs their use in supporting value-state classification.

Classification Uncertainty

Where available information supports more than one plausible classification, uncertainty must remain visible.

For example:

Dormant Value?

or:

Zero Value?

may remain unresolved where future usability, strategic relevance, or recoverability is unclear.

VSCM must not force artificial certainty merely because a classification system requires a field to be populated.

Possible treatment may include:

Provisional Classification

Conditional Classification

Multiple Candidate Classes

Unresolved Classification

until sufficient basis exists for downstream determination.

Classification Conflict

Different organizational functions may classify the same value differently.

For example:

Finance: low-value asset

Operations: critical backup capability

Engineering: technologically obsolete

Strategy: essential transition asset

VSCM does not automatically select one organizational view.

It separates the underlying value contexts and determines whether the apparent conflict represents:

different classifications of the same governed value

or

different governed values attached to the same object.

This distinction can eliminate false organizational disagreement.

Classification ≠ Valuation

VSCM does not require every state to have a monetary amount.

Classification may exist independently from monetary valuation.

Therefore:

Value State Class ≠ Price

Value State Class ≠ Market Value

Value State Class ≠ Book Value

Value State Class ≠ Tax Value

A monetary valuation may become relevant through another methodology or system.

VSCM governs the state class of value, not the universal financial amount assigned to it.

Classification ≠ Accounting Treatment

An accounting system may classify an item according to applicable accounting standards.

VSCM does not replace those classifications.

An accounting asset may occupy a zero-value operational state.

A non-capitalized capability may occupy an active strategic-value state.

VFM® therefore creates a value-governance layer capable of operating alongside accounting rather than attempting to become accounting itself.

Classification ≠ Legal Status

VSCM does not determine:

ownership; legal title; regulatory status; tax treatment; contractual enforceability; intellectual-property rights.

Those characteristics may affect value classification where relevant.

They do not become governed by VSCM merely because they influence value.

Classification Stability

A classification should remain valid only while the conditions supporting it remain materially unchanged.

Potential review triggers may include:

operational change; technological change; market change; regulatory change; beneficiary change; context change; restoration; deterioration; new dependency; lost dependency; new evidence; material cost change.

VSCM identifies the classification.

Later modules govern determination, transition readiness, and state recording.

Minimum Implementation Framework

A minimum VSCM implementation should establish:

1. Value State Candidate

Receive the identified Value State Candidate from VSIM.

2. Context Confirmation

Confirm the governed value, object, beneficiary, context, and reference point.

3. Classification Taxonomy

Define the state classes available within the governed environment.

4. Classification Criteria

Define the conditions required for each applicable state class.

5. Candidate Assessment

Compare the identified condition against applicable classification criteria.

6. Context Separation

Separate materially different value contexts or beneficiaries where necessary.

7. Classification Assignment

Assign the most appropriate state class or provisional classification.

8. Uncertainty and Limitation

Preserve material uncertainty, competing classifications, and classification limitations.

9. Classification Basis

Record the information and reasoning supporting the classification.

10. Downstream Transfer

Transfer the classified Value State Candidate to VSDM for formal Value State Determination.

Governance Outputs

VSCM may produce:

Value State Classification Value State Classification Basis Value State Taxonomy Reference Value State Criteria
Record Value Asset™ Classification Candidate ZVA™ Classification Candidate Dormant Value Classification
Conditional Value Classification Constrained Value Classification Degraded Value Classification Recoverable Value
Classification Multi-Context Classification Record Classification Uncertainty Record Classification Limitation Record
Classified Value State Candidate

These outputs provide the governed input for:

VSDM — Value State Determination Module.

Use Case 1 — Banking: Separating Real

Collateral Value States Before Risk Decisions

A bank finances an industrial enterprise whose collateral pool contains hundreds of machines, technologies, production systems, licenses, inventories, and other value-bearing objects.

A conventional register may show:

Asset exists → Ownership confirmed → Recorded amount available

But these objects may occupy fundamentally different value states.

VSCM can classify them individually:

Machine A → Active Value → currently essential to profitable production.

Machine B → Dormant Value → currently unused but immediately deployable as backup capacity.

Machine C → Constrained Value → functional but unavailable because a critical input is temporarily unavailable.

Machine D → Degraded Value → operational but technologically deteriorated relative to current production requirements.

Machine E → Potential ZVA™ → physically present but carrying zero identified value within the governed production context.

Patent F → Conditional Value → no current revenue but potentially valuable if a planned product receives market authorization.

Instead of treating the collateral base as one homogeneous stock of assets, the bank gains a classified map of the actual states through which underlying value exists.

This can support more precise:

collateral review; credit monitoring; restructuring analysis; recovery planning; portfolio surveillance; early-warning systems.

Most importantly, VSCM can expose a hidden risk:

the legal and accounting asset base may remain relatively stable while the operational value-state composition underneath it is deteriorating.

That divergence may become visible before conventional asset disappearance occurs.

Use Case 2 — Blockchain and Digital Assets:

Separating Token Existence From Actual Value

State

A blockchain ecosystem may contain millions of tokens, digital rights, protocol assets, liquidity positions, smart-contract relationships, digital credentials, or tokenized claims.

The technical existence of these objects is easy to establish.

Their current value state is much harder.

A token may still exist on-chain while:

- its underlying service has disappeared.
- Another token may have no active market but retain redemption rights.
- A digital asset may be temporarily unusable because a bridge, oracle, protocol dependency, or access mechanism is unavailable.
- Another may have no present utility but retain strategic governance rights.
- A tokenized real-world claim may remain technically transferable while the underlying economic relationship has materially deteriorated.

VSCM can classify these states separately:

Active Value

Conditional Value

Dormant Value

Constrained Value

Degraded Value

Recoverable Value

Potential ZVA™

rather than allowing:

Token Exists

to become equivalent to:

Token Has Current Value.

The classification can remain attached to:

Digital Object → Value Context → Beneficiary → Reference Point → Current Condition → Value-State Class

This creates a powerful governance distinction for digital economies:

technical persistence is not value persistence.

A blockchain may preserve an object's existence indefinitely.

VFM® can separately govern whether the value associated with that object remains active, dormant, constrained, degraded, recoverable, conditional, or zero within the defined context.

Foundational Principles

Identified condition must be classified before the governed state can be formally determined.

Classification is not determination.

Value-state classification is context-specific, not universally transferable.

One object may carry multiple value states across different contexts.

One object may carry different value states for different beneficiaries.

Non-use is not automatically zero value.

Dormant value is not zero value.

Constrained value is not necessarily degraded value.

Zero value is not negative value.

Zero value is not non-existence.

Zero value in one context does not establish zero value in every context.

A Value State is not a price.

A Value State is not an accounting classification.

Technical existence does not establish current value.

Canonical Closing Statement

Value State Classification Module establishes the classification layer of the Value State Standard by transforming an identified Value State Candidate into an explicit, context-bound, criteria-based Value-State Class before formal determination occurs. Through governance of classification taxonomy, state criteria, active, conditional, dormant, constrained, degraded, recoverable and zero-value conditions, multi-context and multi-beneficiary distinctions, granularity, uncertainty, classification conflicts, and the separation of value state from price, accounting treatment, legal status, physical existence, and technical persistence, VSCM creates a common methodological language for distinguishing materially different conditions of value. By preserving the distinctions between dormant and zero value, constrained and degraded value, zero and negative value, and contextual and universal value claims, VSCM provides the classified basis required for VSDM to determine what governed state value actually occupies.

Modul3

Governed Links

→ Value State Standard (VSS).

→ VFM® Architecture Map

→ Previous: Value State Identification Module (VSIM).

→ Next: Value State Determination Module (VSDM).

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